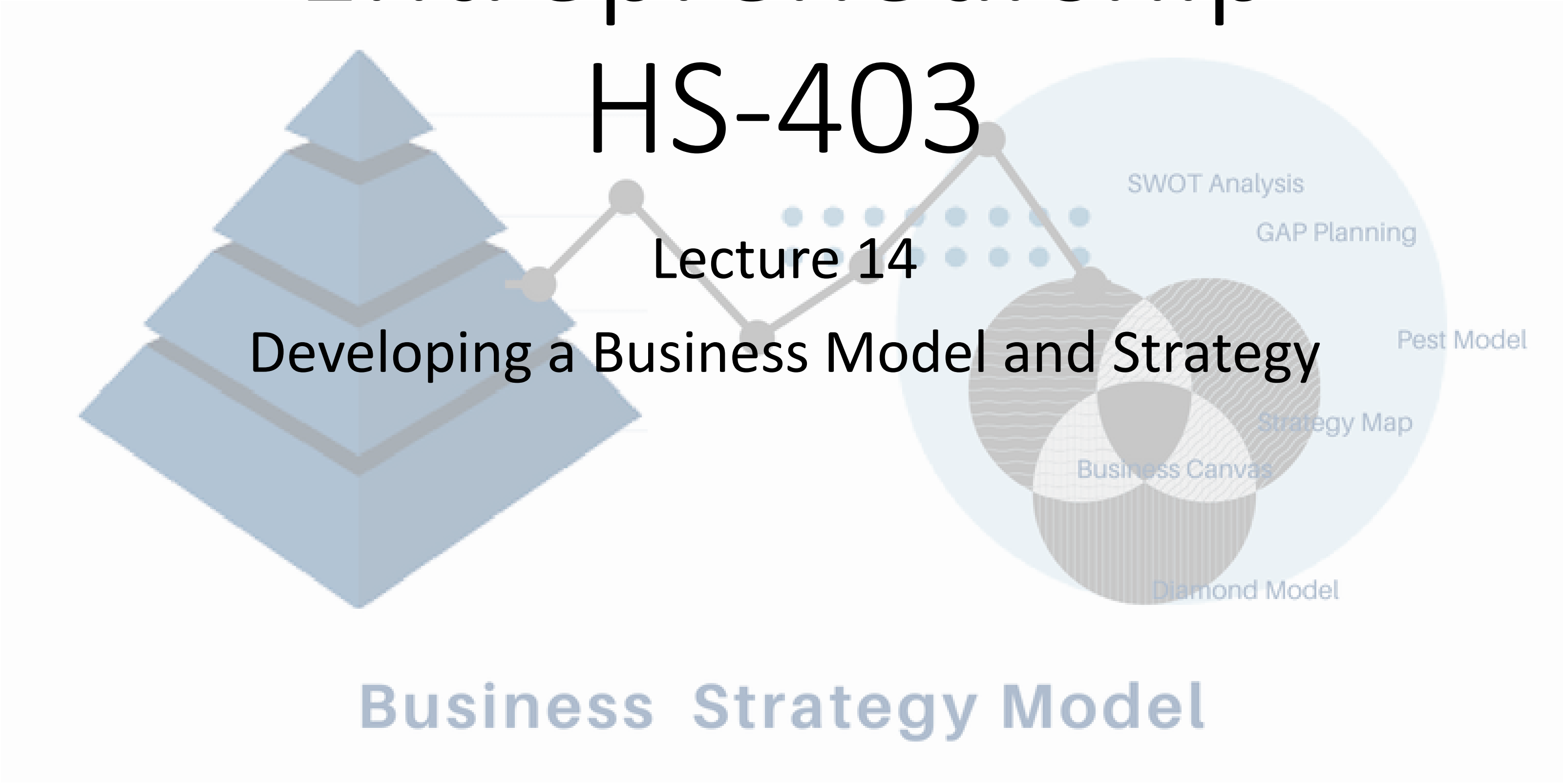
Management and Entrepreneurship HS-403

Lecture 14

Developing a Business Model and Strategy



Outline

- What is a business model?
- What is a strategy?
- The importance of strategic planning
- Difference between a business plan and a strategic plan
- Different business models that exist
- How to evaluate strategies and business models?
- How we can craft business strategies?
- Challenges of implementing business strategy and business model
- Tools for implementing strategies

What is a business model?

- According to investopedia a business model is “The plan implemented by a company to generate revenue and make a profit from operations.”
- The model includes the components and functions of the business, as well as the revenues it generates and the expenses it incurs.

What is a strategy?

- A plan of action or policy designed to achieve a major or overall aim.
- The art of planning and directing overall military operations and movements in a war or battle
- Important lesson: you must have it at the back of your mind that business is warfare

The Importance of Strategic Planning

- Helps build your competitive advantage
- Communicates your strategy to staff
- Prioritizes your financial needs
- Provides focus and direction to move from plan to action

Difference between Business Plan and a Strategic Planning

According to strategic plan for dummies:

- A business plan is a planning tool for new businesses, projects, or entrepreneurs who are serious about starting a business. A business plan:
    - Helps define the purpose of your business
    - Helps plan human resources and operational needs
    - Is critical if you're seeking funding
    - Assesses business opportunities
    - Provides structure to ideas
- While a strategic plan is a management tool that C-level managers need to master and is for established businesses and business owners who are serious about growth.

C-level managers

These executives are part of the top-tier leadership team and play a crucial role in making high-level strategic decisions for the organization.

1. **CEO (Chief Executive Officer):** The CEO is the top executive responsible for overall strategic direction, decision-making, and leadership of the entire organization.
2. **CFO (Chief Financial Officer):** The CFO is in charge of financial matters, including financial planning, budgeting, and financial reporting.
3. **CMO (Chief Marketing Officer):** The CMO is responsible for developing and executing marketing strategies to promote the organization and its products or services.
4. **CHRO (Chief Human Resources Officer):** The CHRO oversees human resources functions, including recruitment, employee relations, and organizational development.

Different Business Models that Exist (1/5)

- According to a 2004 Massachusetts Institute of Technology Sloan School of Management study of the largest 1000 U.S. firms, four basic business model archetypes exist.
- The four archetypes are
  - creator,
  - distributor,
  - landlord
  - broker.
- Within these four archetypes, 16 detailed business models exist.
- The four archetypes each control one or more assets that include financial, physical, intangible and human assets.

Different Business Models that Exist (2/5)

Creator

- Creators purchase component parts and raw materials and transform these parts and materials into a saleable finished product.
- Manufacturing companies typically fall under the creator business model.
- Another attribute of the creator model comes in the form of design.
- Companies using the creator business model design the products they sell.

Different Business Models that Exist (3/5)

Distributor

- Distributors buy products and resell them to others.
- Companies that fall under this business model archetype often provide value-added services before reselling the product.
- Wholesalers and retailers such as Metro cash & carry, Imtiaz Super Market, are examples.

Different Business Models that Exist (4/5)

Landlord

- The landlord business model typically involves purchasing or investing in properties and then renting them out to tenants in exchange for regular rental income.
- Landlords are responsible for maintaining the property, addressing tenant concerns, and ensuring that the property complies with local regulations.

Different Business Models that Exist (5/5)

Broker

- A broker is a person or a firm that facilitates transactions between traders, sellers, or buyers.
- Think of a broker as a middleman who ensures transactions can run smoothly and that each party has the necessary information. Brokers exist in many industries, including insurance, real estate, finance, and trade.
- Brokers control financial assets without taking ownership of the asset.

How to Evaluate Strategies and Business Models?

Internal Consistency

- If a Strategy is to be effective, it cannot be internally inconsistent or have policies or targets that conflict with overall company structures or goals.
- The evaluation verifies whether its approach to the internal organization of the company and operations reinforces the valuable aspects of existing structures.
- The targets specified by the strategy have to match overall company goals.
- The internal elements of the strategy need to have the same objectives and avoid conflicting measures.

How to Evaluate Strategies and Business Models?

External Environment

- In addition to being consistent with the internal company structures, a strategy has to match its external environment.
- Companies exist in a marketplace that includes customers, competitors and regulatory bodies.
- Businesses create value and deliver benefits.
- They incur costs and make profits within an existing pricing structure.
- The evaluation analyzes to what extent the Strategy addresses these factors in a consistent manner
  - For example, verifying that the value creation specified by the strategy matches target market needs.

How to Evaluate Strategies and Business Models?

Strategic Advantages

- A strategy has to create advantages to make its implementation worthwhile.
- The benefits of the strategy have to be substantially greater than the costs of carrying it out, and the strategy has to create competitive advantages in the marketplace.
- It could, for example, change a product to increase its value for a specific market segment that needs the change.
- The evaluation compares the costs related to strategy activities, the benefits to the company and what strategic advantages the strategy predicts.

How to Evaluate Strategies and Business Models?

Feasibility

- An evaluation of strategy feasibility asks whether the company has the ability to implement the strategy.
- It checks that company resources, personnel available for carrying out the work and the expertise of the available staff are adequate.
- It compares what is available with what the strategy needs for its implementation.
- It analyzes the consequences of doing the work and identifies any new issues that may surface as a result.
- A test of its effectiveness is whether it has reached its targets.

How we can Craft Business Strategies?

- Analyze external and internal factors
- Perform SWOT analyses
- Draft priority issues
- Develop high-level action plans
- Finalise the strategy

Challenges of Implementing Business Strategy and Business Model

- **Resistance to Change:** Employees and stakeholders may resist changes associated with the new strategy or business model. Resistance can hinder effective implementation and lead to a lack of engagement.
- **Resource Constraints:** Limited financial, human, or technological resources can impede the execution of strategic initiatives. Inadequate resources may result in delays, suboptimal implementation, or project failure.

Challenges of Implementing Business Strategy and Business Model

- **Ineffective Leadership:** Weak or inconsistent leadership can result in a lack of direction and commitment. Successful implementation requires strong leadership to guide and motivate the organization.
- **Inadequate Planning:** Insufficient planning or a lack of a detailed execution plan can hinder successful implementation. Without a clear roadmap, organizations may struggle to execute strategic initiatives effectively.
- **Sustainability and Ethical Considerations:** The need to align strategies with sustainability goals and ethical considerations poses challenges for certain industries. Failure to address sustainability and ethical concerns can lead to reputational damage.

Tools for Success in Strategy Implementation

1. A first step in ensuring the successful implementation of the firm's strategy, firm leaders must take early and aggressive action to institutionalize the strategy within the firm.
2. **Implementation Support Structure:** To support effective implementation, firm leaders should ask the question: does the firm have the right leadership, governance and operational structure required to support effective implementation?
3. **Implementation Planning:** A fundamental and critical step in moving forward with strategy execution involves planning. Implementation planning entails developing a detailed outline of the specific actions and sub-actions, responsibilities, deadlines, measurement tools, and follow-up required to achieve each of the firm's identified

Tools for Success in Strategy Implementation

4. **Alignment of Management Processes:** Successful implementation of a law firm's strategy also requires alignment of the firm's partner compensation system, performance management approach, and other related practice group and client team management structures and processes with the firm's chosen strategy.
5. **Measurement, Follow up and Accountability:** A key component of success in implementation involves holding firm leaders and partners accountable for actively driving and supporting execution.